Trent Ltd

Result Update | Retail

Growth Aggression Continues

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

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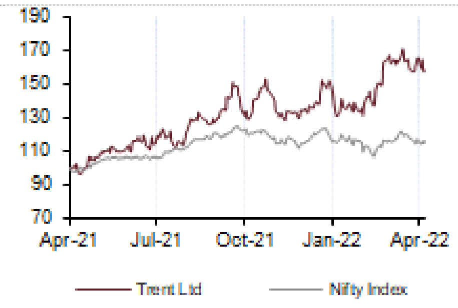
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1,254	2

Market data		
Current price	Rs	1,228
Market Cap (Rs.Bn)	(Rs Bn)	437
Market Cap (US$ Mn)	(US$ Mn)	5,709
Face Value	Rs	1
52 Weeks High/Low	Rs	1347.1 / 736.1
Average Daily Volume	('000)	1,381
BSE Code		500251
Bloomberg		TRENT.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	37.01	37.01
Public	62.99	62.99
Total	**100**	**100**

Source: Bloomberg

Trent Q4FY22 Standalone results were better than expectations.

- Revenue recorded 53% growth on YoY basis to Rs 11852.6mn aided by strong store additions and 21% LFL growth in Westside business on a YoY basis.
- Store count for Q4FY22 stood at 435 (~200 Westside and 235 Zudio) as against 307 last year (174 Westside and 133 Zudio). Overall sq foot for FY22 increased by ~31% to 5.48mn
- **EBIDTA** margins declined to 13% as against 18% YoY mainly on account of higher raw materials cost. Raw Material cost was higher on account of a) Lower full price participation in Jan EOSS sales b) higher additions of Zudio stores.
- Strong store additions also led to 47% jump in Employee cost on a YoY basis.
- ***EBIDTA margins going forward*** *have recovered in March and are broadly consistent with the trends witnessed during Q3FY22*
- *PBIT margins (ex of Indian As Impact and non operating income) stood at Rs 720mn +14% YoY*
- *PAT increased by 22% Yoy to Rs 750mn aided by Other income that increased by 41% YoY to Rs 1021.4mn*
- **Trent's full year Revenue of Rs 38.8bn was higher by Rs 13.5bn on a YoY basis equivalent to Trent overall revenue in FY15 @ Rs 13.6bn**

Outlook

- **Trent's longer-term focus** is to be a *"Portfolio of Brands"* which are originated and scalable, like Westside and Zudio that are now both profitable and sustainable business models.
- Management aim is to grow at CAGR of 25%+ and maintain atleast 10% EBIT margins (pre-Ind-As)

Financial Summary Standlone

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23e	FY24e
Net sales	31,777	20,475	38,807	57,492	69,065
% Growth	25.5	(35.6)	89.5	48.1	20.1
EBIDTA	5,632	2,926	6,983	11,619	14,161
Margins	18	14	18	20	21
PAT	1,546.0	(510.2)	2,598.0	4,107.5	5,480.0
growth (%)	21.0	(133.0)	(609.2)	58.1	33.4
EPS	4.3	(1.4)	7.3	11.6	15.4
P/E (x)	282.3	(855.6)	168.0	106.3	79.7
P/B (x)	17.5	17.4	16.0	14.2	12.3
EV/EBITDA (x)	78.0	148.9	63.1	37.9	31.0
ROCE (%)	11.9	2.3	12.9	22.4	24.6
RoE (%)	6.2	(2.0)	9.6	13.4	15.4

Source: Dalal and Broacha

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Consolidated Results

- **Revenue** grew by 47% YoY to Rs 132888mn (QoQ -11%)
- **EBIDTA margins stood at 10% v/s 14% YoY and 18% QoQ**
- PAT adjusted own shares stood at Rs 1.6mn v/s 174mn YoY and 1396.9mn QoQ
- Share of Profits from JV and Associates was negative Rs 96mn v/s Rs -192mn YoY and Rs of Rs +264.7mn QoQ

Other KTA's

- The business was impacted in January and February 2022 by the third wave of the pandemic.
- Westside LFL for Q4FY22 stood at 16% and 21% vs FY20 & FY21respectively.
- Online channel (7% of Westside Revenue) registered 74% YoY growth in FY22 and 85% in Q4FY22
- Exclusive style were launched for Online platform, which also witnessed encouraging traction. Newly launched Tata Neu App will aid online sales by reaching newer audience.
- Emerging categories like beauty and personal care, innerwear and home continued
- IND-AS f 116 accounting on the standalone profit before tax was an adverse impact of Rs 260mn in Q4 and Rs 960 mn in the full year
- STAR FOOD business witnessed good customer traction
- Trent declared a final dividend of Rs 1.1. Including the interim dividend of Rs 0.60/share, the total dividend stood at INR1.7/share.
- Net Cash on Books (excluding Lease Liability) including current investments stood at Rs 187mn v/s 3815mn YoY.
- Other Income include Rent waiter of Rs 81.6mn v/s 116.3mn YoY
- Inventory days increased to 77 days v/s 70 days YoY
- Booker India approximate Revenue stood at Rs 14.3bn +9% YoY
- Dividend from ZARA is ~ Rs 1bn for FY22 (as per cash flow)

Quarterly Financials

Particulars (Rs Mns)	Q4FY21	Q3FY22	Q4FY22	YoY	QoQ
Revenue	7,736.8	13,477.6	11,852.6	*53.2*	*-12.1*
Raw Material	3,623.0	6,572.1	6,030.2	*66.4*	*-8.2*
Employee Cost	682.2	847.4	1,007.0	*47.6*	*18.8*
Rent Exps					
Other Expenses	2,065.9	3,141.0	3,292.0	*59.4*	*4.8*
O. Exps not attributable to current Qtr					
EBIDTA	**1,365.7**	**2,917.1**	**1,523.4**	***11.5***	***-47.8***
Depreciation	617.0	733.5	808.9	*31.1*	*10.3*
Interest	617.5	733.8	787.2	*27.5*	*7.3*
PBT (before O.Income) and Exceptional	131.1	1,449.8	-72.7	*-155.4*	*-105.0*
Other Income	724.2	296.2	1,021.4	*41.0*	*244.8*
Exceptional Items	-63.4		-1.5		
PBT	791.9	1,746.0	947.2	*19.6*	*-45.8*
Tax	223.2	417.1	198.5	*-11.1*	*-52.4*
PAT (reported)	568.8	1,328.9	748.7	*31.6*	*-43.7*
Adjusted PAT	614.3	1,328.9	749.9	*22.1*	*-43.6*
Equity	**355.47**	**355.49**	**355.49**		
Face Value	1.00	1.00	1.00		
EPS (on adj)	1.73	3.74	2.11		
EPS (on reported)	1.60	3.74	2.11		
Tax Rate	*28%*	*24%*	*21%*		
Raw Material	47%	49%	51%		
Employee Cost	9%	6%	8%		
Rent Exps	0%	0%	0%		
Other Expenses	27%	23%	28%		
EBIDTA Margins	**18%**	**22%**	**13%**		

Source: Company

Outlook and valuations

Trent SOTP Method					
Segment	**Particulars**	**FY24**	**Metric**	**Multiple (X)**	**Value/ Per Share Contribution**
Wesiside + Zudio	PAT Standalone (Rs Mns)	5480	P/E	65	3,56,202
Star Bazaar 50% JV	Sales (Rs Mns)	11129	P/Sales	3	33,386
Zara Trents Share 49%	PAT (Rs Mns)	1202	P/E	30	36,070
Booker India 51%	Sales (Rs Mns)	4941	P/Sales	3	14,822
Less: Debt (Rs Mns)					4,974
Add: Cash + Invest (Rs Mns) less Inv in Subs					10,233
Total Value in Mns					**4,45,739**
NO. of Shares (In Mns)					355
Value Per Share Rs					**1,254**
CMP					1,228
Upside					**2%**

Trent has been growing at a CAGR *(over FY19)* of 15%+ in Revenue and 20%+ on PBIT(ex of Other income) despite the impact of pandemic. With the aggressive store expansion, right product mix we expect this business to grow at a CAGR of 20%+ in Revenue and much higher in PAT, for couple of years .

Trent's full year Revenue of Rs 38.8bn was higher by Rs 13.5bn on a YoY basis equivalent to Trent overall revenue in FY15 @ Rs 13.6bn. Westside reaching a run-rate of Rs 50bn indicates a strong execution capability the management has in taking the business to next level.

This aggression supported by strong balance-sheet with Net Debt-free status and strong brand-presence across verticals aided with TATA-group's strong focus on consumer business are factors that would support its premium valuations.

Based on our SOTP valuation we arrive at a target price of Rs 1,254 (i.e 12-18 months perspective). We believe that the down-side in the stock is limited as the company has strong sustainable business model with very high growth potential. Market volatility should be used to "Buy the stock on Dips" with long-term perspective.

Financial

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	31,776.7	20,475.3	38,807.3	57,491.9	69,064.6
Cost of sales	(26,144.7)	(17,549.1)	(31,824.6)	(45,872.8)	(54,904.0)
Operating Profit	**5,632.0**	**2,926.2**	**6,982.7**	**11,619.0**	**14,160.6**
Depreciation	(2,311.2)	(2,358.7)	(2,830.8)	(3,634.3)	(4,180.3)
PBIT	3,320.8	567.5	4,151.9	7,984.8	9,980.3
Other income	1,517.6	1,154.3	2,142.4	1,095.1	1,260.8
Interest	(2,382.9)	(2,379.8)	(2,932.7)	(3,590.8)	(3,917.8)
Profit before tax	2,455.5	(658.0)	3,361.6	5,489.1	7,323.3
Exceptional and Extra Ordinary	(0.3)	(63.4)	(131.6)	-	-
PBT (Post Extra Ordinary)	2,455.3	(721.4)	3,230.0	5,489.1	7,323.3
Provision for tax	(909.4)	211.2	(733.7)	(1,381.6)	(1,843.3)
Reported PAT	**1,545.9**	**(510.2)**	**2,496.3**	**4,107.5**	**5,480.0**
MI	-	-	-	-	-
Adjusted PAT	**1,546.0**	**(510.2)**	**2,598.0**	**4,107.5**	**5,480.0**

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	1,545.9	(510.2)	2,496.3	4,107.5	5,480.0
Add: Dep. & Amort.	2,311.2	2,358.7	2,830.8	3,634.3	4,180.3
Cash profits	**3,857.1**	**1,848.5**	**5,327.1**	**7,741.7**	**9,660.3**
(Inc)/Dec in					
Sundry debtors	8.0	(72.4)	42.4	(78.9)	(48.8)
Inventories	(971.2)	1,919.5	(4,278.8)	(3,971.4)	(2,455.3)
Loans/advances	(503.2)	(345.2)	(688.7)	(999.6)	(1,198.7)
Current Liab and Provision	(268.1)	2,428.9	(1,058.5)	1,797.0	1,359.9
Change in working capita	(1,734.5)	3,930.8	(5,983.6)	(3,252.9)	(2,342.9)
CF from Oper. activities	**2,122.6**	**5,779.2**	**(656.4)**	**4,488.8**	**7,317.4**
CF from Inv. activities	**(28,261.1)**	**(6,741.2)**	**(18,736.6)**	**(7,828.5)**	**(9,282.5)**
CF from Fin. activities	**26,069.5**	**1,190.6**	**19,467.7**	**3,305.5**	**3,780.5**
Cash generated/(utilise	**(69.0)**	**228.7**	**74.6**	**(34.2)**	**1,815.4**
Cash at start of the year	509.5	440.5	669.2	743.9	709.7
Cash at end of the year	440.5	669.2	743.9	709.7	2,525.1

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E
Equity capital	355.5	355.5	355.5	355.5	355.5
Reserves	24,634.4	24,803.1	26,844.9	30,383.6	35,259.3
Net worth	**24,989.9**	**25,158.6**	**27,200.4**	**30,739.1**	**35,614.8**
Non Current Liabilites	24,696.9	25,174.8	45,312.7	49,214.7	53,620.9
Current Liabilites	4,264.1	6,737.3	5,608.4	7,377.6	8,716.2
CAPITAL EMPLOYED	**53,950.9**	**57,070.7**	**78,121.5**	**87,331.4**	**97,951.8**
Non Current Assets	36,768.4	41,817.4	59,594.2	64,092.4	69,198.6
Fixed Assets	26,413.9	29,572.8	45,531.1	50,025.3	55,127.6
Non Current Investments	9,268.5	11,146.1	12,821.9	12,821.9	12,821.9
Deferred Tax Asset	**1,069.5**	**1,080.1**	**1,225.3**	**1,225.3**	**1,225.3**
Long Term Loans and Advance:	16.4	18.4	15.9	19.9	23.9
Current Assets	17,182.5	15,253.4	18,527.3	23,239.0	28,753.2
Current investments	6,799.7	6,145.7	4,417.4	4,117.4	4,117.4
Inventories	5,865.2	3,945.7	8,224.5	12,195.9	14,651.2
Trade Receivables	133.3	205.7	163.3	242.2	290.9
Cash and Bank Balances	440.5	669.2	743.9	709.7	2,525.1
Short Term Loans and Advance	856.6	749.2	261.5	313.8	376.6
Other Current Assets	3,087.2	3,537.8	4,716.7	5,660.0	6,792.0
CAPITAL DEPLOYED	**53,950.9**	**57,070.7**	**78,121.5**	**87,331.4**	**97,951.8**

Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	17.7	14.3	18.0	20.2	20.5
NPM	4.6	(2.4)	6.3	7.0	7.8
Tax rate	(37.0)	(32.1)	(21.8)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	25.5	(35.6)	89.5	48.1	20.1
Operating Profit	138.1	(48.0)	138.6	66.4	21.9
PBIT	74.7	(82.9)	631.6	92.3	25.0
PAT	21.0	(133.0)	(609.2)	58.1	33.4
Per Share (Rs.)					
Net Earnings (EPS)	4.3	(1.4)	7.3	11.6	15.4
Cash Earnings (CPS)	10.9	5.2	15.3	21.8	27.2
Dividend	1.0	0.6	1.7	1.6	1.6
Book Value	70.3	70.8	76.5	86.5	100.2
Free Cash Flow	(73.5)	(2.7)	(54.6)	(9.4)	(5.5)
Valuation Ratios					
P/E(x)	**282.3**	**(855.6)**	**168.0**	**106.3**	**79.7**
P/B(x)	17.5	17.4	16.0	14.2	12.3
EV/EBIDTA(x)	78.0	148.9	63.1	37.9	31.0
Div. Yield(%)	0.1	0.0	0.1	0.1	0.1
FCF Yield(%)	**(6.0)**	**(0.2)**	**(4.4)**	**(0.8)**	**(0.5)**
Return Ratios (%)					
ROE	6.2	(2.0)	9.6	13.4	15.4
ROCE	11.9	2.3	12.9	22.4	24.6

Source: Dalal & Broacha Research, Company

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